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Cisco Systems (CSCO.O)

Citi Global TMT Conference Takeaways - Positive

CITI'S TAKE

We hosted Cisco's Head of IR and Strategic Finance, Sami Badri, at Citi's Global TMT conference today. Please find our takeaways below.

Campus refresh cycle: Management noted this refresh differs from prior cycles in two ways. First, Cisco-specific: the company introduced new Silicon One-based smart switches alongside announced end-of-life dates for legacy Catalyst 4K and 6K switch lines, something management said Cisco has never done before in past cycles. Management highlighted that some legacy Catalyst 4K units still in production have been in service for roughly 19 years, with replacements migrating to Catalyst 9K or Cisco's newer smart switches. Second, industry-specific: management cited AI-driven bandwidth growth, cybersecurity demands, and latency-sensitive AI applications as structural tailwinds not present in prior refresh cycles.

\$100B+ networking opportunity: Management broke this down into roughly three buckets — (1) over \$40B tied to legacy campus port refresh, (2) a portion tied to competitive displacement as rival campus switching products reach end-of-life or lose competitiveness, and (3) data center switching modernization to handle rising traffic. Management indicated campus refresh is the largest single component.

Gross margin dynamics (FY27): Management attributed near-term margin pressure to a higher mix of hardware-only shipments to hyperscalers. For enterprise customers, hardware revenue is recognized upfront while software subscription revenue ramps over subsequent quarters. Management characterized Q1 FY27 as the likely trough for gross margin, improving through the year as software subscriptions attach and offset hardware mix.

Supply chain/pricing: Management confirmed price increases have been implemented to offset inflation, with memory costs cited as the primary input cost pressure, already factored into guidance. Mitigation efforts cited include forward/strategic purchasing, a strategic investment in a Taiwan-based memory company, and engineering programs to reduce memory content in products. Management described broader component/optics supply as "tight" but not "bottlenecked."

AI orders/revenue: Management reiterated a \$7.5B AI revenue target for FY27, built on more than \$9B in AI orders taken from hyperscalers in FY26. Product mix was described as roughly 60% Silicon One-based systems and 40% Acacia optics/transceivers. Management noted AI orders are highly non-linear quarter to quarter, while AI revenue recognition is comparatively linear due to tight coordination with hyperscaler shipment schedules.

Buy

Price (10 Sep 26 16:00)	US\$107.44
Target price	US\$139.00
Expected share price return	29.4%
Expected dividend yield	1.6%
Expected total return	30.9%
Market Cap	US\$423,592M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

AI Scale-Across: Management positioned Cisco as uniquely offering Silicon One-based data center switches, Acacia coherent ZR optics, and optical systems needed to connect GPU clusters across data center sites, framing this as necessary given power/permitting constraints on building larger single-site data centers. Management disclosed design wins across three separate hyperscalers for the P200, with design-to-qualification turnaround compressed to about 90 days versus a typical 6–9 months. Management estimated scale-across as smaller than scale-up/scale-out, but larger than the "high single-digit billions" some industry analysts cite, once data center interconnect and telemetry are included.

Enterprise/Sovereign/Neocloud AI: Management cited approximately \$1.3B in FY26 orders across sovereign AI, neoclouds, and enterprise AI (separate from the \$9B hyperscaler AI order figure), with expectations this cohort grows meaningfully in FY27. Management referenced a new partnership with Supermicro — part of the expanded Secure AI Factory with NVIDIA, featuring an NVIDIA Cloud Partner (NCP)-compliant architecture — intended to allow Cisco to pursue larger end-to-end AI infrastructure deals while recognizing compute-related revenue on a net basis, preserving margin profile.

Silicon One roadmap: Management cited the G300 launch (~February 2026, a 3nm/102.4 Tbps chip built by TSMC, positioned against Broadcom's Tomahawk 6) and the P200 launch as key recent milestones. Silicon One currently represents under 10% of switches shipped but is expected to become the majority by FY29, which management framed as a vertical-integration advantage analogous to Nvidia's position in GPUs.

Optics: Management noted hyperscaler optics demand today is dominated by long-range Acacia coherent ZR optics, with optical systems currently a small business for Cisco. Management highlighted a new multi-rail optical system targeting AI scale-across demand, an area management said requires roughly 14x greater bandwidth density versus current metro/regional optical systems.

Cisco Systems

Valuation

We value CSCO at ~25x P/E multiple of FY28E EPS or \$139. Our target multiple reflects the company's increasing AI mix, but still a discounted valuation multiple relative to networking peers.

Risks

Downside risks that could prevent the shares from reaching our target price include: 1) a weaker economic spending environment, including a slower recovery in service provider, 2) intensifying competitive pressures in switching and routing, 3) M&A related integration headwinds, and 4) slowing demand for software and subscription services. Upside risks include: 1) a stronger networking product cycle than we are contemplating, 2) more rapid scaling of AI clusters and AI-related networking traffic, 3) service provider inventory digestion and normalized order dynamics, and 4) transformative software and/or security M&A.

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Appendix A-1

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Cisco Systems (CSCO)

Ratings and Target Price History

Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	31-Oct-23 10:37:42	*--	-	52.13
2	12-Apr-24 05:00:00	*2	*52.00	48.49
3	16-Oct-24 01:08:47	*1	*62.00	56.38
4	14-Nov-24 02:20:25	1	*64.00	57.92
5	17-Jan-25 05:00:00	1	*68.00	60.23

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	13-Feb-25 01:33:22	1	*71.00	63.84
7	27-Feb-25 05:00:00	1	*73.00	63.81
8	14-Apr-25 05:00:00	1	*68.00	57.41
9	15-May-25 00:35:40	1	*71.00	64.26
10	14-Aug-25 01:27:28	1	*80.00	69.30

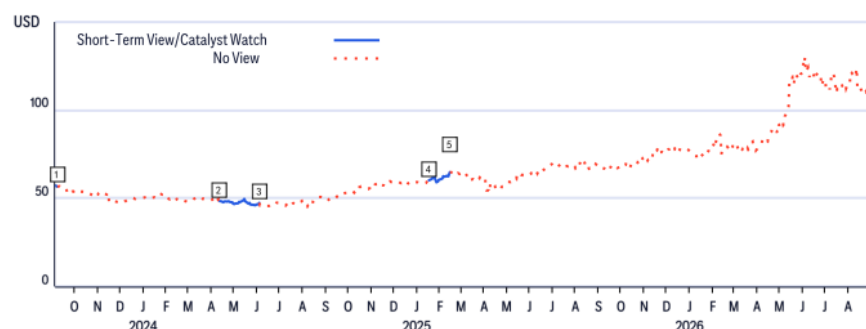
	Date	Rating	Target Price	Closing Price
11	12-Nov-25 22:02:42	1	*85.00	73.96
12	12-Feb-26 01:46:18	1	*90.00	75.00
13	14-May-26 02:52:48	1	*112.00	115.53
14	05-Aug-26 15:00:23	1	*139.00	121.50

Rating/target price changes above reflect Eastern Time

Cisco Systems (CSCO)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Sep-23 12:07:08	Remove CW	Upside	30 Days	56.67
2	12-Apr-24 01:00:00	Add CW	Upside	90 Days	48.49

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	04-Jun-24 22:43:34	Remove CW	Upside	90 Days	47.42
4	17-Jan-25 00:00:00	Add CW	Upside	30 Days	60.23

	Date	Action	Expected Direction	Duration	Closing Price
5	14-Feb-25 12:16:04	Remove CW	Upside	30 Days	64.87

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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